

5. COMPANY LAW

Faculty Profile

5/8/26

i) Began with definition of Company.

+
emphasis on the definition from the Act itself → Companies Act, 2013.
s. 2(20)

ii) Emphasised on "member" of company being the owner/investors of the company.
→ being the formal term used.

iii) Stated that shareholders of the company are also "members" of the company.

iv) Stated that promoters = members who had the initial thought of the company.

→ v) Could be an exception where the promoter is not the member (shareholder).

vi) Began subtly with "One person Company".

Similar to normal Company, except that there is only one person.

vii) Stated the definition of Company from the Bare Act.

viii) "Members may come, members may go, but the company goes on forever."

Used this sentence to clarify the separation of the
"incorporated" company from its members.

ix) Stated the concept of "winding down" of company & name being struck off from the register.

x) 7 members ≤ for public company.
2 members ≤ for private company. } Stated that these differences would come.
[have to add "private" in their company's name]

xi) Emphasised that the Company Law won't give equal privilege to both (above).

xii) Stated that priv. company cannot issue shares in the market, to the public, until it is converted to public company.

xiii) Public company can also be converted to a private company.

xiv) Stated that the "Ministry of Corp Affairs" deals with the companies' data.

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i) Began with "ad valorem" → adding value.

↓
Case. fees only for company & not for sole proprietorship.

ii) Constantly emphasising on the separateness of a company & its members.

iii) Stated that shareholders, employees & members can receive dividends, entitled to salaries.

iv) Emphasised that suing is done in the Company's name as separate entity, if cause of action involves Company's name. Case.

v) Stated that an "Object Clause" is created when company is being set up.

vi) Case → Emphasised that, in a company, having legal status as a promoter/director & also as an employee is permissible. Again emphasised that company is separate from its members & management.

vii) Case → Emphasised that by virtue of being a separate entity, a Company has the Fundamental Right to own property.

viii) Case → Stated the taxable property of dividend if it being separate from the income that may be exempt from tax.

ix) Stated that "the most striking feature of a company is it having limited liability."

x) Emphasised that the shareholder possesses limited liability to the extent of their nominal/face value of share = (value of share when bought by such shareholder).

xi) Stated that sometimes (although rare) companies do have unlimited liability if the promoters have registered it as such.

7/8/26

i) Began with stating that shareholders are not part owner in the property under Company's name.
Case.

ii) Stated that 2 important docs are filed by the Company → a) Memorandum of Association [MOA]
b) Articles of Association [AOA]

iii) Stated that above a) is the Company's charter. Contains Name clause, Object clause. Explained it to be

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are on their structure of a company.

iv) Stated that by consists of the Company's Rules & Regulations. Also said that all the internal rules & regulations are in this document. Some apply for restrictions imposed by the Company, very placed in the document.

v) Stated that, another feature, in line with the other features written above, is perpetual succession.

vi) Hinted that "Write a short note on perpetual succession" or other features may come.

vii) Stated that common seal is not mandatory now.

viii) Hinted that questions on corporate veil & lifting of such, always come in the exams.

ix) Also stated that lifting of corp veil means to treat the company as a sole proprietorship, in event of fraud & other criminal activities, therefore do see exactly what's going on underneath. *Case.*

x) Stated that the Chief advantage of Company is separate entity. Thus, in events of fraud, such corporate veil is lifted on account of justice.

xi) Stated that matters go to NCLT $\rightarrow$ NCLAT $\rightarrow$ Supreme Court.
Appellate

xii) Lifting of Corp veil is not a rule & is done only in exceptional circumstances.

xiii) Stated that all remunerations offered to the Company's managerial positions is categorised in the class of "Managerial remuneration".

xiv) Stated that heavy questions come from this topic $\rightarrow$

Eg $\rightarrow$ "Lay down the Statutory provisions of judicial decisions on lifting of the corporate veil."

The circumstances under which the courts may lift the corporate veil may broadly be grouped under the following two heads: (A) Under statutory provisions: (B) Under judicial interpretations. . .

-Company Law- Meaning and nature of company.pdf, p.12

xv) V/Statutory provisions $\rightarrow$ s. 34, 35, 39, 12, 76A, 219, 216, 339.

xvi) Suddenly began statutory prospectus & highlighting how important it is to provide accurate information there, otherwise corp veil would be lifted.

xvii) Started explaining application money of such application having been part of the prospectus.

xviii) Stated that the floor limit of shares needing to be ^{subscribed when IPO} taken as minimum subscription, & if this minimum has failed, then the application money has to be returned within a given time period.

12/8/26

i) Began with revision of 7/8/26.

ii) Again emphasised that when the gears of "company", fraud cannot be done.

iii) Again stated meaning of corporate veil.

iv) Defined "ultra vires" = beyond one's scope of authority.

v) Stated that Sec 10 of nCr 2Cr requires a General Meeting of Shareholders, & to obtain their consent.

vi) Again stated "ultra vires" & connected it to the concept of Corporate [hereinafter, Corp(n)share] Veil.

vii) Began with judicial interpretation + stated that a ultra vires judicial interpretation can veil with some

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- viii) **Case** SirDinshawManeckjeePetit, ReAIR1927 Bom. 371
-Company Law- Meaning and nature of company.pdf, p.15
- ix) **Case** Gifford Motor Company v. Horne [1933]1 CH 935,
-Company Law- Meaning and nature of company.pdf, p.15 + stated that mere formation of company as a sham, to get the advantage of the corp veil — not permitted & corp veil lifted.
- x) Again stated that lifting of the Corp veil is not a rule.
- xi) **Case**. Jones v. Lipman [1962] 1 All. ER 442
-Company Law- Meaning and nature of company.pdf, p.15 + stated that formation of company purely to avoid specific performance of contract is not permitted.
- xii) Stated the term "agency" & gave the example of agency contract & not trading.
- xiii) Stated that, in reference to above xii) that Company can't be agency or principal as it is artificial. However, during war, it may become necessary to lift the Corp veil & check if agency or principal is trading. **Case**. Daimler Company Ltd v. Continental Tyre & Rubber Co. (Great Britain) Ltd [1916] 2 AC 307
-Company Law- Meaning and nature of company.pdf, p.15
- xiv) Stated what "subsidiary" & "holding" company means, with specific reference to their capital structure.
- xv) Established that if subsidiary company is working as an agent of the holding company, then corp veil may be lifted to hold the holding company liable for its actions.
- xvi) **Case**. Merchandise Transport Limited v. British Transport Commission [1982] 2 QB 173,
-Company Law- Meaning and nature of company.pdf, p.16 establishing the above xv).
- xvii) Stated that, if the company's benefit is not being derived at least once for the benefit of its shareholders + only as an agent of the shareholders, Corp veil may be lifted. In. Smith, Stone and Knightv. Birmingham Corpn. [1939] 4 All ER 116 (KB)
-Company Law- Meaning and nature of company.pdf, p.17
- xviii) Stated the meaning of "welfare legislation" & gave example of bonuses given to workers.
- xix) **Case**. transaction-workmen of AssociatedRubberIndustryLtd v. ASsoc[?]tedRubberInduStryLtd [1986] 59 Comp. Cas. 134.
-Company Law- Meaning and nature of company.pdf, p.17 + Corp veil can be lifted for clear xix) violations.
- xx) **Case**. PNB Finance Limitedv. ShitalProsadJain [1983] 54 Comp. Cas. 66 (Delm)
-Company Law- Meaning and nature of company.pdf, p.18 + specifically stated to study this case.
- xxi) Stated the meaning of "Sham" & sham company. Liable for lifting of Corp veil.
- xxii) **Case**. In JyotiLimitedv. KanwaljitKaurBhasin [1987] 62 Comp. Cas. 626 (Delhi)
-Company Law- Meaning and nature of company.pdf, p.19 → for punishment of contempt of Court after lifting of corp veil.

13/8/26

i) Began with advantages of Incorporation.

ii) Again stated min limit of persons & max limit.

iii) Pvt → $2 \leq 200$; Public → $7 \leq$ no limit.

iv) 1 person private company is also possible, as stated previously.

v) After covering the advantages from Pg-30 of the book referred, began with disadvantages of Incorporation.

vi) Specifically stated about the formalities required for Incorporation.

vii) Stated also that submission of documents takes place every year.

viii) Established that there is a distinction of management between management of Directors.

ix) Specifically differentiated between Board Meeting & Annual General Meeting.
for Board of Directors for shareholders

x) Shareholders' Meeting / General Meeting for shareholders' meetings.

xi) Extraordinary General Meeting is called, if needed in the midst of the year, different from constant being AGM.
variable

xii) Said "Private Placement" is an important term — being the offer for shares catered.

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axii) Explicitly put the question to the class — "Why is a formal procedure required for winding up?"

axi) Used the word "Transparency" for the above axii).

ax) Also used the word "public accountability" for above axii).

axi) Began with Body Corporate & stated that it is different from Company.

axii) Above entities not registered under the Companies Act, 2013.

axiii) Body corporate uses another term being "Corporation".

axiv) Specifically highlighted such entities being foreign entities.

axv) The term is wider & not exhaustive since the Act's definition uses the word "include".

axi) It may be noted that under clause (b) of sub-section (11) of section 2, the Central Government has reserved the right to declare any association of persons as a body

Company Law- Meaning and nature of company.pdf, p.23

corporate. Accordingly, Oil & Natural Gas Commission (ONGC), like many others, has been declared as a body corporate.

Company Law- Meaning and nature of company.pdf, p.24

axii) Asked the question — "Why are Banking companies kept distinct from the Companies Act?"

axiii) Stated the consideration of public money being kept, without even buying shares.

axiv) Is a registered society, a body corporate?

axv) Can a registered society become a member of a company?

axvi) " " " hold shares of a company? → Answered in the affirmative, because separate legal entity.

axvii) Began with "Corporation Sole".

axviii) A 'corporation sole, is a body corporate constituted in a single person who, in right of some office or function, has corporate status. Examples of corporation sole, are to be found in perpetual offices such as the President, Governors, Crown, Ministers, and a public trustee.

Company Law- Meaning and nature of company.pdf, p.24

axix) Began with "Is company a citizen?".

axx) Specifically stated that the above axix) comes to the exam as a "Short Note with 5 marks" question.

axxi) Talked about Fundamental Rights of citizens of companies.

axxii) Case. *Bennett Coleman Co. v. Union of India* [1972] S.C.C. 788, 806.

axxiii) New Horizons Ltd v. Union of India [1995] 1 Comp. LJ 100 (SC); [1997] 27 CLA 56 (SC) — Specifically told to study this case.

Company Law- Meaning and nature of company.pdf, p.25

14/8/26

i) Began with "is company a citizen?".

ii) *Narosaopeta Electric Corpn. Ltd v. State of Madras* [1951] 21 Comp. LJ 100 (SC); [1997] 27 CLA 56 (SC)

Company Law- Meaning and nature of company.pdf, p.25

→ Established that a "company" does not satisfy the requirements of the definition

of citizen under the Constitution of India & therefore is not a citizen.

iii) Began with "Kinds of company".

iv) Began with "Private Company".

v) Stated that above iv) will be defined as per the min & max limit + its paid up share capital as may be prescribed in accordance with law.

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vi) Above 3) also includes "Private Placement" — I suggest this will come in the exam.

vii) Membership is directly connected to shareholding.

viii) Joint shareholding of each share will entail its membership of joint persons been considered as one member.

ix) All restrictions, limitations, prohibitions must be stated in the company's articles of association.

x) V.B. Nagaraj v. V.B. Gopalakrishnan [1991] CLA 211 (SC).



The only permissible restrictions on transferability are those contained in the company's articles of association. An additional restriction not contained in the articles but in a private agreement between two shareholders which places further obstacles in the way of transferability is not binding either on the company or on the shareholders -

Kinds of Companies.pdf p.2

xi) Began with limitation on number of members.

xii) Put the question — (past employees or present employees) who are members, would not be counted in the limit. Why not?

xiii) Put the question — Why are the directors not being brought in the class of employees of the company?

xiv) Constantly emphasising on employees not being included as members of the company of questions related to this.

xv) Suddenly stated the meaning of "debenture".

xvi) Stated that Pvt companies cannot offer debentures to public at large, but can do it privately, similar to "Private Placement".

xvii) Stated the distinction between "Debenture" & "Bond".

xviii) Again emphasised that Pvt. companies cannot offer shares to the open public/public at large.

18/8/26

Order of Answer

i) Began with stating that equity shareholders are the risk bearers.

ii) Stated that Preferential Shareholders don't have voting rights.

iii) Hinted that "Write a short Note on Private Company" may come in exam.

iv) Also hinted that a question like "Why is Pvt. company better when compared to?" may come.

v) Stated about Audit Committees in a company.

vi) Stated that Equity Shareholders are known as "Risk-bearing shareholders".

vii) Stated that equity shareholders have voting rights while preferential shareholders do not.

viii) Hinted that Note on private company may come in the exam for which 8-9 points should be prepared.

ix) Began with Additional Privileges & Exemptions.

x) Began with distinction between private company & public company.

xi) Went through the same emphasised points for above vi).

xii) Stated about the quorum required for General Meetings of Public Company & Private Company.

xiii) Stated that public company can accept Public Deposits while Private Company cannot.

S.76

xiv) Stated that private company can issue debentures.

xv) Again emphasised the definition of a public company of its S.2(71).

xvi) Stated that a subsidiary of a public company, if it is private, will be treated as a public company for the purposes of the Companies Act, 2013.

xvii) Constantly emphasised on case no. 4 of part the notion of Corporate veil of lifting on such entities.

xviii) Stated that (private, small, one-person, foreign, associations not for profit, statutory, registered, holding, subsidiary, associate).

19/8/26

i) Began with a PPT on the basis of classification of the different types of companies.

ii) Stated that, in the Memorandum of Association, whether the company is Pvt. limited or public limited. "Limited" refers to the element of Limited Liability.

iii) Stated the concept of "Joint venture".

iv) Stated that companies formed under particular & specific Acts, of their class, are known as "Statutory companies".

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- vi) Emphasised that Statutory companies are governed primarily under their own statutory Acts.
- vii) Stated — RoC (Registrar of Companies), Certificate of Incorporation.
- viii) Began with the class of companies limited by shares — "I can only borrow to pay to the extent of my value in shareholding."
- ix) Went through examples of above vii).
- x) Again emphasised the attraction of members towards "limited liability."
- xi) Stated the meaning of guarantee & its role in winding up of the company — Class of company limited by Guarantee.
- xii) "Each member of company guarantees to offer a specific value towards the company's assets, at the time of winding up of the company — Present members + Past (or former) members."
- xiii) Company limited by Guarantee — members need not contribute share capital, but guarantees. E.g. → Clubs, trade or industry associations, other organisations pursuing non-commercial or mutual benefit object.
- xiv) Specifically focused on the above xii) club example.
- xv) Stated that mostly, ventures for business of profit, do not operate as company limited by guarantee.
- xvi) Began with class of Unlimited company.
- xvii) Stated meaning of unlimited & connected it to the concept of member undertaking personal liability for the aggregate debt.
- xviii) Continued with the disadvantages of Unlimited company & went back to the advantages of limited company.
- xix) Stated that conversion is possible from Unlimited company to limited company.
- xx) Stated that some companies, to build reliance, register as Unlimited & often building goodwill, convert to limited liability.
- xxi) Again stated that conversion from Pvt. to Public & vice-versa, is possible.
- xxii) Began with One-person company (OPC).
- xxiii) 2013 Introduced — above xxi).
- xxiv) Stated that the idea behind this was the burden of entrepreneur being ideal but not willing to share ownership.
- xxv) Stated that OPC's cannot be publicly listed.
- xxvi) Stated that OPC's have to provide nominee — as element of perpetual succession, & burden taken by undertaking business, also that it needs to be put down in the Memorandum of Association.
- xxvii) Emphasised upon Attributes of OPCs — liberalised under the Companies Incorporation Second Amendment Rules, 2011 — also that only the PPT has these rules on all amendments/updates.
- xxviii) Stated that Professor is going to provide the PPT.
- xxix) Stated that candidate introduced the ability to convert, of OPCs.

20/8/26

- i) Began with continuation of OPCs.
- ii) Stated that the amendments for OPCs made it more liberalised.
- iii) Began with Classification on the basis of Control.
- iv) Began with Holding company — stated that holding in relation to its subsidiary — stated the necessity for controlling the Board of Directors.
- v) Stated the holding of more than 50% of voting power.
- vi) Also stated the concept of owning 100% of shares — thereby making such subsidiary company, a wholly owned subsidiary.
- vii) Stated the restrictions from the Companies Act, on the degree of subsidiary not being more than 2 classes — In horizontal, any number is allowed — but degrees refer to the vertical, then only 2 subsidiaries unless one holding is possible.
- viii) Put forth the question "What such restriction?" — for above vii).
- ix)

The Amendment Act has therefore introduced an explanation to the definition of holding company to clarify that a holding company includes any body corporate.

-Company Law 1 (Kinds of companies).pdf, p.47
- x)

You may note that a company shall be deemed to be a subsidiary company of the holding company even if the control referred to in (i) or (ii) above is of another subsidiary company of the holding company;

-Company Law 1 (Kinds of companies).pdf, p.47

→ controls the composition of the Board of Directors

ii) exercises or controls more than one-half of its total voting power either at its own or together with one or more of its subsidiary companies.
- xi) For understanding — used example.
- xii) Stated that heavy questions on holding & subsidiary always comes in the exam.
- xiii) Began with Government companies — Govt. owns > 51% of such company, in paid up share capital.
- xiv) A subsidiary of a Government company shall also be treated as a Government company.

-Company Law 1 (Kinds of companies).pdf, p.26
- xv)

Legal status of a Government company - There has been a catena of cases right from Salomon v. A Salomon & Co. Ltd [1897] AC 22, which has established that a company brought into being under the Companies Act has a separate existence and is legally recognised as a juristic person separate & distinct from its members.

-Company Law 1 (Kinds of companies).pdf, p.26
- xvi)

Case In Andhra Pradesh State Road Transport Corporation v. ITO AIR 1964 SC 148

-Company Law 1 (Kinds of companies).pdf, p.27

→ stated that since govt. companies are distinct juristic persons, the govt. will have to pay tax.
- xvii)

Case Similarly, in Western Coalfields Limited v. Special Area Development Authority AIR 1982 SC 696, the Supreme Court did not uphold the contention of the Western Coalfields Ltd. and Bharat Aluminium Company Ltd. (the petitioners) that they were wholly owned by the Government of India and so the companies could not be subjected to property tax. The Chief Justice of India, Shri Chandrachud, observed as follows - "Even though the entire share capital of the appellant companies has been subscribed by the Government of India, it cannot be

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predicated that the companies themselves are . owned by the Government of India. The cotDpanies which are incorporated under the . Companies Act have a corporate personality of their own, distinct from that of the Government of India. The land and buildings are vested in and owned by the companies; the Government of India only owns the share capital."

Company Law 1 (Kinds of companies).pdf, p.27

xviii) *Trump Case: Romana Deyanum Shetty v. International Airports Authority of India 83R 1979 SC 1628* — ownership of firm in entirety, suggests company being agency/instrumentality of the Government.

Also, majority status suggests State control.

xix) I suspect that govt. companies are very important for the exam, from the way the Professor is emphasizing on this particular Case.

21/8/26

i) Began with Associate Company.

ii) 'Significant influence' is defined to mean control of at least twenty per cent of the total voting power, or control of or participation in business decisions under an agreement.

Professor's reading material, p.8

iii) Highlighted the distinction between Associate Company & Subsidiary — with regard to the percentage share.

iv) Began with Classification on the basis of access to Capital Markets.

v) Stated Listed Company for above iv).

vi) Began differentiating between convertible debentures & non-convertible debentures.

vii) Stated the concept of redeeming debentures, & its option, if available, for conversion to equity share.

viii) Began with Unlisted Company.

ix) Stated starting about Government Company, from Professor's PPT

x) Stated about the Controller of Auditor General of India & its role in accountability.

xi) Began with Foreign Company.

xii) Stated that (Sections 379 to 385 of the Companies Act deal specifically with Foreign Companies.

Professor's reading material, p.7

xiii) It is important to distinguish a 'foreign company' under Section 2(42) from an Indian subsidiary of a foreign parent, such as Google India Private Limited, which, being incorporated in India, is an Indian company, not a foreign company, even though it is owned by a foreign parent.

Professor's reading material, p.8

xiv) Began with Small Company.

xv) Stated that some exemptions are given to businesses registered as Small Company —

Small companies benefit from a range of relaxations, including: exemption from preparing a cash flow statement as part of financial statements; the ability to hold only two board meetings in a year (instead of the usual four) with a minimum gap of ninety days between them; simplified, abbreviated annual returns signed by the company secretary alone for a director, where there is no company secretary; exemption from mandatory rotation of auditors; and reduced penalties under Section 446B for certain defaults.

Professor's reading material, p.8

xvi) The proviso to Section 2(85) expressly excludes from this category: (a) a holding company or a subsidiary company; (b) a company registered under Section 8; and (c) a company or body corporate governed by any special Act.

Professor's reading material, p.8

xvii) Stated about the amendment update —

Amendment update: The monetary thresholds for a 'small company' have been revised upward on three occasions since the Act came into force, consistently in the direction of covering more companies within the beneficial regime: originally, the Act (prior to the Companies (Amendment) Act, 2015) set the thresholds at paid-up capital not exceeding Rs. 50 lakh and turnover not exceeding Rs. 2 crore. The Companies (Specification of Definitions Details) Amendment Rules, 2021, effective 1 April 2021, raised these to paid-up capital not exceeding Rs. 2 crore and turnover not exceeding Rs. 20 crore. The Companies (Specification of Definitions Details) Amendment Rules, 2022, effective 15 September 2022, raised the thresholds further to paid-up capital not exceeding Rs. 4 crore and turnover not exceeding Rs. 40 crore. Most recently, the Companies (Specification of Definitions Details) Amendment Rules, 2022, notified vide G.S.R. 800(E) and effective from 1 December 2022, has raised the thresholds again, to paid-up capital not exceeding Rs. 10 crore and turnover not exceeding Rs. 100 crore. As before, a company must fall within both limits simultaneously to qualify, and the categories of company expressly excluded from small company status (public companies, holding and subsidiary companies, Section 8 companies, and companies governed by special Acts) remain unchanged.

Professor's reading material, p.8

xviii) Explicitly stated that Note on Small Company may come of maximum 10 marks. Additionally, 15 marks questions would probably be given in the public company-type or others.

xix) Stated for above xviii)

Illustration: A private company with paid-up capital of Rs. 6 crore and annual turnover of Rs. 70 crore would not have qualified as a small company under the 2022 thresholds, but would qualify as a small company under the thresholds effective from 1 December 2022, since both figures now fall below the revised Rs. 10 crore and Rs. 100 crore limits respectively.

Professor's reading material, p.8

xx) Stated that

Section 8 Company (Company with Charitable Objects)

Professor's reading material, p.8

Gave example of

The Confederation of Indian Industry and various educational and research foundations are structured as Section 8 companies. Reliance Foundation is registered as a Section 8 company. Such entities typically omit the words 'Limited' or 'Private Limited' from their name, since Section 8(1) permits registration without these suffixes, and instead often use words such as 'Foundation', 'Association', 'Federation', or 'Council'.

Professor's reading material, p.8

xxi) Stated about

A Section 8 company enjoys certain exemptions from the ordinary requirements of the Act, for instance in relation to the minimum number of directors and certain procedural formalities, but the licence granted under Section 8 can be revoked by the Central Government if the company's affairs are conducted in a manner contrary to its objects or prejudicial to the public interest, in which case the company may be directed to convert into a company of another kind or be wound up.

Professor's reading material, p.9

xxii) Began with Dormant Company —

Section 455 introduces the concept of a dormant company, addressing the situation of a company that has been formed for a future project or to hold an asset or intellectual property, but has no significant accounting transactions, or a company which is not carrying on any business or operations. Such a company, or an inactive company, may make an application to the Registrar to obtain the status of a 'dormant company'. Illustration: A group of promoters may incorporate a company today solely to reserve a corporate name and hold certain intellectual property for a project planned to commence three years later. Rather than complying with the full annual compliance burden applicable to an active company in the interim, they may apply for dormant status under Section 455, subject to periodic filings to retain that status. A dormant company continues to exist on the register with minimal compliance obligations, but the Registrar may strike off the name of a dormant company from the register if it fails to comply with the requirements of Section 455 for two consecutive financial years.

Professor's reading material, p.9

25/8/26

i) Began by putting forth a question: "How a company is different from other entities?"

ii) Began with Chapter 4 - Formation and Incorporation of a company.

iii) Stated that the whole process of formation of a company may be divided into 4 stages: a) Promotion b) Registration c) Floatation d) Commencement of business

iv) Stated who is a "promoter" as per the Section 2(69) of the Companies Act, 2013.

v) Stated that promoter has been defined in the sense of a function.

vi) Stated that a person who is acting merely in a professional capacity shall not be treated as promoter.

vii) Stated that the definition offered by the provision does not bring out the nature of activities that a promoter is usually associated with — also mentioned that "It may serve a good purpose for fixation of liabilities for wrong doings by the company".

viii) Stated the case *TWY CROSS v GRANT 1877 2 QPD 469* — which described a promoter.

ix) Stated that the case *LAGUNAS NITRATE CO. v. LAGUNAS SYNDICATE 1899* is very important — "To be a promoter one need not necessarily be associated with the initial formation of the company; one who subsequently helps to arrange floating of its capital will equally be regarded as a promoter."

x) Put for the question "Why is the Promoter important?" — I suspect this might come in the exam.

xi)

In Palmer's view, anyone who assists in the promotion, for example, by obtaining the services of a director, or agreeing to place shares or negotiating an agreement or merely by bringing a vendor in touch with persons who may form a company to exploit or purchase his goods may find himself as a promoter of a company which is consequently formed.

Ch-4 formation and incorporation of a company.pdf, p.2

xii) Stated the distinction between Promoters and Subscribers.

xiii) Stated the example — the people who initially invest capital to the Memorandum, names being mentioned in the Memorandum are Subscribers.

xiv) Stated defining the duties of a promoter, which might go to define a Promoter — as stated below:

In conclusion, it may be said that word 'promoter' is used in common parlance to denote any individual, syndicate, association, partnership or a company which, takes all the necessary steps to create and mould a company and set it going. The promoter is in the forefront for the formation of the company and is the one who

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takes all the necessary steps to create and mould a company and set it going. The promoter originates the scheme for the formation of the company; gets together the subscribers to the memorandum, gets memorandum and articles prepared, executed and registered; finds the bankers, brokers and legal advisors; locates the first 'directors, settles the terms of preliminary contracts with vendors and agreement with underwriters and makes arrangements for preparation, advertisement and circulation of the prospectus and placement of the capital. In India, the promoter, 'or promoters or the principal of them are usually persons who, in forming the ' company, secure for themselves the management of the company being formed or , are persons who convert their own private business into a limited company, public or private and secure for themselves more or less a controlling interest into the company's management

-Ch-4 formation and incorporation of a company.pdf, p.2

- xv) Stated that — appointing independent director — he won't be a Promoter.
- xvi) Stated that a person cannot become a promoter merely because he signs the memorandum as a subscriber for one or more shares — **OFFICIAL LIQUIDATOR v. VELU MUDALIAR 1938**
- xvii) Put for the question : "What is a fiduciary relationship?" Gave examples of Teacher Student Relationship, Doctor Patient, Advocate Client.
- xviii) Began with the relationship between promoter and company — must be a fiduciary relationship from the day the work of floating the company starts and continues up to the time that the directions take into their hands what remains to be done in the way of forming the company.
- xix) Emphasised on the fiduciary relationship of the promoter, and connected it to the concept of lifting the corporate veil.
- xx) Stated that the status of the term "promoter" is generally terminated when the Board of Directors has been formed and they start governing the company.
- xxi) Stated to underline the paragraph —

26/8/26

- i) Began with Legal Position of a promoter.
- ii) Stated that the promoter is neither an agent, nor a trustee, of the proposed company — but it does not mean that he does not have any legal relationship with the proposed company. The correct way to describe his legal position is that he stands in a fiduciary position towards the company about to be formed.
- iii) Stated s.34 and s.35. of the Companies Act, and also s.339 (dealing with fraudulent trading) of the Companies Act.
- iv) Stated the above in the context of Duties of Promoters — stated that the most important duties are — a) Not to make any secret profit out of the promotion of the company. b) To disclose to the company any interest which he has in a transaction entered into by it.
- v) Constantly emphasising upon Duties of Promoters, also stated that heavy questions come on — **Nature, Duties of Promoters.**
- vi) Emphasising upon "Duty to disclose secret profits".
- vii) **Gluckstein v. Barnes** — syndicate of persons was formed to buy property called Olympia and re-sell this Olympia to a company to be formed for the purpose. The syndicate first bought the debentures of the old Olympia company at a discount. Then they bought the company itself for £1,40,000. Out of this money provided by themselves, the debentures were repaid in full and a profit of £20,000 made thereon. They promoted a new company and sold Olympus to it for £1,80,000. The profit of £40,000 was revealed in the prospectus but not the profit of £20,000 — Held, the profit of £20,000 was a secret profit and the promoters of the company would be bound to pay it to the company because the disclosure of the profit by themselves in the capacity of directors of the purchasing company was not sufficient.
- viii) Stated that a promoter is allowed to make a profit out of a promotion but with the consent of the company. But, the company being an artificial person, the problem is to discover as to who may consent on behalf of the company — independent and competent Board of directors would suffice.
- ix) Constantly emphasising upon disclosure of correct information to be done in the Prospectus.
- x) Stated that a promoter's duties do not come to an end on the incorporation of the company, or even when a Board of directors is appointed. They continue until the company has acquired the property or business which it was formed to manage and has raised its initial share capital — **Lagunas Nitrate Co. v. Lagunas Syndicate Ltd.**, and the Board of directors has taken over the management of the company's affairs from the promoters — **Twycross v Grant.**
- xi) Stated that if proper disclosure has not been done for a particular transaction, that contract is liable for rescission.
- xii) Started trying to define "secret profit". (I personally need more clarity on this).
- xiii) Stated that Unit 1, 2, 3, 4 are coming for the Mid Sems.

27/8/26

- i) Began with stating about Sec.26 of the Companies Act, 2013.
- ii) Continued with liability of promoters — for above i) and Sec. 35, 34.
- iii) Emphasising upon disclosure and liability of promoters — I suspect that this is going to come in the exam — side by side with Duties of Promoters as stated on 26/8/26 v).
- iv) Stated that above mentioned sections must be kept in knowledge — for the exam.
- v) Stated about the provisos of the above mentioned sections.
- vi) Stated that the promoter may have to bear this criminal liability for misstatements unless he can prove that such statement or omission was immaterial or that he had reasonable grounds to believe, and did up to the time of issue of prospectus believe, that the statement was true or inclusion or omission was necessary.
- vii) Stated that section 34 and 35 are specifically to be done from the reading material provided by Professor.
- viii) Began with remuneration of promoters and stated that there are 2 distinctions — purely professional promoter (their job is simply to extend their services), and the people who actually build the company.
- ix) Stated that a promoter is not entitled to recover any remuneration for his services from the company unless there is a valid contract, enabling him to do so, between him and the company.
- x) Stated that remuneration cannot be claimed as a right, unless there is a contract for such — this line "must be remembered".
- xi) Stated that in practice, a promoter is remunerated in any of the following ways: a) He may sell his own property to the company for cash or against fully paid shares in the company at an overvaluation after making full disclosure to an independent Board of directors or to the intended shareholders. b) He may take a commission on the shares sold. c) He may be paid a lump sum by the company — whatever be the nature of remuneration or benefit, it must be disclosed in the prospectus.
- xii) Began with pre-incorporation contracts.
- xiii) Stated for above — sometimes, contracts are made on behalf of a company even before it is duly incorporated. But no contract can bind a company before it becomes capable of contracting by incorporation — also stated that their legal status is "not bound".
- xiv) Stated that for above xiii) the true legal position of pre-incorporation contracts may be discussed under the following 2 heads : a) Position before 1963 (before passing of Specific Relief Act, 1963). b) Position since 1963.
- xv) Stated that heavy questions come in the exam for Legal status of pre-incorporation contracts — stated to mention the 2 heads and explain according to that.
- xvi) Professor has an attitude towards hinting what's going to come in the exam. She is openly declaring them.
- xvii) Position before 1963 — A pre-incorporation contract never binds a company since a person (legal or juristic) cannot contract before his or its existence and a company before incorporation has no legal existence. Another reason is that promoters are proverbially profuse in their promises and if the corporation were to be bound by them, it would be subject to many unknown, unjust and heavy obligations — **Parke v. Modern Woodman.**
- xviii) Even where there is a request purported to enforce such a contract, the company cannot be bound because ratification is not possible as the ostensible principle did not exist at the time the contract was made. Also, stated that the company is not entitled to sue on a pre-incorporation contract.
- xix) Position since 1963 — Section 15(h) of the Specific Relief Act, 1963 came as a relief to the promoters. Since this section provides that where the promoters of a public company have made a contract before its incorporation for the purposes of the company, and if the contract is warranted by the terms of its incorporation, the company may enforce it. Stated that "Warranted by the terms of incorporation" means within the scope of the company's objects as stated in the memorandum.

1/9/26

- i) Began with the Registration/Incorporation of a company.
- ii) Stated about Section 3 — about the number of members, consent, nominee.
- iii) Stated that, normally approval from Registrar is required for alteration of memorandum, however if a one person company may choose to only change its name, it may do so with such approval as it is an alteration of the memorandum of such company.
- iv) Began with Section 4.
- v) Elaborated on all of the provisions of Section 4. Stated that these technicalities must be learnt, as we are lawyers and the formal due diligence process needs to be by done by us. (I am taking this as a hint that these technical questions may come in the exam, or analytical questions where scrutiny of the legal technicalities needs to be done may come in the exam.)
- vi) Stated that understanding of the Memorandum must be thoroughly done.
- vii) Stated about the "Names and Emblems Act" in the context of the provision of names undesirable in the opinion of the Central Government.
- viii) Stated that — "Name is important, however, what is more important is the choice of a name".
- ix) Stated that the reason for obtaining the approval of the company's name before the formal registration, is provided for in the Act, since after spending a lot of money for formal legal procedure if the registration gets rejected because of the name, then that complicates the entire company's plans.
- x) Stated about the reservation of the name of the company.
- xi) Put forth the question to the class — "In chronological order, state the entire procedure stated out in Section 4."

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Page 10 (row 10, column 1)

2/9/26

- i) Began with Section 5 of the Companies Act.
ii) Stated the questions come in the exam on Entrenchment clause — "What is an entrenchment clause?". Stated that "Write a Short Note" comes on such topic — and students mostly get low marks in such question because they don't state the correct section and clause, aside from failing to write a satisfactory answer to such question.
iii) Stated that entrenchment clauses are effectively clauses, which require procedures stricter than a special resolution, to vary them.
iv) Going through Section 5 in detail. I suspect that this section is technically very important and may come in the exam.
v) Began with Schedule 1 of the Companies Act — showcasing such "pro forma or model" — Showcased the Tables A, B, C, D, E, F, G, H.
vi) Stated that Articles of Association are much more filled with content since it contains the information of the companies' internal activities — also stated that the largest Articles of Association will be for the Company Limited by Shares.
vii) Stated that the Bare Act, the most important sections must be remembered, as we are lawyers and we would not to know the law directly and not just from commentaries.
viii) Began with Section 6 of the Companies Act.
ix) Stated that for above viii) — the Act is superior to any Memorandum or Article.
x) Stated that "ROC" is "Registrar of Companies" — Began with Section 7.
xi) Stated that Section 7(b) is very important, so is (c).
xii) Stated that the above mentioned sections, must not be left unread, as they are extremely important. (I am noticing that this statement does not limit itself to today's class, but also the class of 1/9/26, Professor's stating that everything's running in a chronological order of technicalities.)
xiii) Stated about the Certificate of Incorporation in this Section — and stated that it means that the company has become a separate legal entity.

3/9/26

- i) Began with stating about Section 7(3) CIN (Corporate Identity Number).
ii) Continuing in thorough detail, the entirety of Section 7 and its sub sections — I am taking this as a hint that this section is, technically very important for the exam.
iii) Stated that Section 7's dealing, in all technicalities, in a chronological order as the enumeration of the section itself. Stated that "Write a Short Note on Section 7" may come in the exam.
iv) Began with Section 8.
v) Stated that "Write a Short Note on Section 8 company" may come in the exam.
vi) Put forth question to the class — "State the objectives of Section 8 company".
vii) Stated that Section 8 companies, may, obtain a licence from the Central Government, to remove the "Limited" from its name.
viii) Stated that the term "licence" is important, with respect to the Section 8 company. Professor keeps on repeating the word explicitly and asking us to remember the term and what it means here.
ix) Stated that what is to be remembered, that the Central Government, may by order, revoke such licence — stating specifically about Section 8(6), (7), (8).

DATE — 8/9/26

- i) Began with Section 10A.
ii) Stated that there it's very important that the declaration of the proof of existence of the company after it's incorporation but before the commencement of business, is done; and verification of the registered office and that it's functional. After doing these 2 things, the certificate of commencement is not required as it was in the past.
iii) Began with Section 12.
iv) Emphasised again on CIN number of the company.
v) Began with Section 13.
vi) Hinted that question may come in the exam — "Describe the provision for altering the registration of the company, or altering the memorandum of the company. You have to know the provisions for answering these questions — very important provisions."
vii) Stated that the provisions she's been covering for the past classes, are a must read, and that is why she is directly doing it from the Bare Act.
viii) Stated the distinction between simple resolution and special resolution.
ix) Stated about Section 61 and Section 64 in relation to Section 13.
x) Constantly emphasising on Consent of Shareholders.
xi) Stated that the "dissenting shareholders" in Section 13(8)(ii) is very important.
xii) Test on Unit 1, 2, 3 on 18th September.

DATE — 9/9/26

- i) Began with Section 14.
ii) Stated that — "As told earlier, Memorandum of Association is the primary document, has more "legal weightage" when compared to the Articles of Association."
iii) Emphasising upon the alterations that will be made, in the documents, when the Company is converting from a Public Company to a Private Company, and vice versa.
iv) Began with Section 15.
v) Began with Section 16.
vi) I am noticing that for above v) — She's emphasising upon the name rectification or change, having to be made, as a consequence of the Central Government's wishes.
vii) Began with Section 17.
viii) Stated that Section 18 is not that important. She did not even go through the section, just told us to read it by ourselves once.
ix) Began with Section 19 — stated that this Section can be read together with the points that she discussed in the past classes on Subsidiary and Holding company.
x) Put forth question to the class — "Why do you think Section 19 prohibits the subsidiary company to hold shares in its holding company? — Because the subsidiary company is created with the Holding company's capital, it will be rerouting the money again, thereby making it difficult to track the money, thus raising suspicions of fraud." (I personally don't think this answer is enough and requires much more substantiveness and correctness, however, these points could be added since they are directly from Professor herself.)
xi) Stated that questions won't come on Section 20, Section 21, Section 22.
xii) Stated that the most important clauses in the Memorandum of Association (while beginning from the Book Chapter 5) are — a) Name clause b) Object Clause (most important); stated that heavy questions come on the Object clause and the concept of Doctrine of Ultra Vires and why it is used in Company Law? Heavy questions on this doctrine come as well.

DATE — 10/9/26

- i) Began with Chapter 5 — Memorandum of Association.
ii) Stated that for Theory — Palmer's definition can be taken.
iii) Stated that this document is the fundamental, out of all the company's documents.
iv) Going through Section 4 again.
v) Going through 5.3-1a of the chapter of the book.
vi) Stated that the above mentioned particular portion from the book, the contents of such is not given in the bare act, therefore needs to be read from the book.
vii) Stated the "Short Note on Name clause may come — write from both the bare act, and the book."
viii) Stated that, from the above mentioned portion of the book, 5 most important points needs to be remembered for the exam.
ix) Stated about Rectification of name, in relation to above topic.
x) Stated about *Ewing v. Buttercup Margarine Co. Ltd (1917)* — (It is in page 148, under Examples, of Chapter 5 of the Book.)
xi) Stated about *Montari Overseas Ltd. v. Montari Industries Ltd. (1996)* — (same page as above mentioned).
xii) Stated, from the same portion (pg 148 under Examples) — "However merely that few words are common may not render the name too identical and thus undesirable." — *Society of Motor Manufacturers and Traders Limited v. Motor Manufacturers and Trader Mutual Assurance Limited (1925)*.
xiii) Began with Registered office clause (Pg 150 of the book, 5.3-2).
xiv) I am noticing that although she has already covered these from the bare act, she is now doing these from the book, to add substantiveness such that we would be able to score the maximum marks.
xv) Explicitly stated — "Question comes like — What is a scope of Object clause?; Write a Short Note on Doctrine of Ultra Vires.; Might give a case, have to analyse and then decide if Ultra Vires would apply or not."
xvi) I am noticing that she's repeating the Object clause and Doctrine of Ultra Vires, abnormally much. (Taking this as a hint as the topic coming in the exam being highly probable.)
xvii) *Emphasised and asked the second F&O and F&O from the page 154 of the book.*

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Page 11 (row 11, column 1)

xvii) For above xv) and xvi) she covered 5.3-3 and 5.3-4 from the page 151 of the book.
xviii) **Ashbury Railway Carriage and Iron Co. v. Riche** — Stated to be a highly important case for the topic of Ultra Vires — discussed this entire case from page 152 of the book.
xix) Stated that heavy questions come on this case, sometimes by asking to analyse the facts of this case — **Lakshmanaswami Mudaliar v. L.I.C (1963)**.
xx) **TO NOTE FOR CLAUDE** — simply because i am writing a particular page number does not mean to limit yourself to such page number in obtaining data. Additionally, the particular page number does not imply that the topic is only contained in that page number. The writing of the page number is simply to know which page to look at first for that topic but certainly does not mean to not look at other pages as well for obtaining data. Remember the object of the project, do anything to attain that object.
xxi) Deadline for the submission of the Research Paper is 15th October.

DATE — 11/9/26

i) Began with continuing with Ultra Vires portion from the book.
ii) **Stated that ratification is allowable, in cases where the directors have, without consent, performed an act without taking the consent of the shareholders.**
iii) Professor has continued with Page 154 of the book — under Effects of Ultra Vires transaction (I suspect that this is an important topic, since Professor is going through every single line under this topic, from the book).
iv) **Began with Liability clause (Section 4(1)(d)) — 5.3-5 of the book, beginning from page 154.** (To note — when i am mentioning these the portion of the book, for eg, 5.3-5 of the book, i mean the chapter and not the entire book, since these portions' numbers are same in other chapters. The page number therefore guides you on which chapter it might be, if the chapter is not already stated.
v) Stated that the amount that will be put in the Prospectus, fall under 3 classes — Nominal capital, Registered capital, Authorised capital (Although I am not sure if these constitute all of the classes, I suspect there is more).
vi) **Began with the Capital clause — 5.3-6 of the book, beginning from page 155.**
vii) **Began with 5.3-8 of the book, beginning from Page 156.**
viii) Again stated about the minimum 7 subscribers signing the memorandum, with reference to above vii).
ix) **Began with Alteration of memorandum — 5.4 of the book, beginning from page 157.**
x) Stated that the, for changing the memorandum, the Act and the Companies Rules must be followed together. The Rules are substantive as well — stated to remember atleast 3 most important ones with respect to the application of the rules in relevant topics. Also mentioned that SEBI Rules are to be followed as well, if the company is publicly listed, are to be written in the exam along with the above mentioned.
xi) Stated that “The Main procedure in the Rules, for example — when changing the registered office, are to be remembered. You may not remember the exact Rule Number, however you must remember the entire procedure. For Sections, you must remember the content and the number. Questions not only come on the Sections of the Companies Act, but also come on the Rules of the Companies Rules.”
xii) **Begun with 5.4-2 from the book, beginning from page 160.**
xiii) Stated that Effects of Certificate of Incorporation — question comes on these. Also stated the Commencement of Business is important, and all of these topics must be done from the book.
xiv) Heavy question comes — “Is the certificate of incorporation a conclusive piece of evidence for compliance of all formalities? — Stated to be No, since mistakes could be made in the document. Although it is an important piece of evidence, it is not conclusive.”
xv) **Stated about the Conversion of shares into stock and vice versa — from page 169 of the book.**
xvi) Started distinguishing between “Ultra vires the company v. Ultra vires the directors”.

DATE — 15/9/26

i) Began with stating that unless the Articles of Association chapter from the book (Chapter 6) is read, it would not be possible to attempt the questions on Entrenchment that would come in the exam.
ii) Heavily emphasising upon the topic of Entrenchment and its clause.
iii) Stated that 2 marks, 5 marks, or Short Note of 10 marks, for Entrenchment, has come in the exam in the past.
iv) Stated that the dividends should be given only out of their profits, and not out of their capital — Section 123.
v) Stated that “Alteration of the Article” must be remembered from the book, and it's relevant chapters.
vi) **Stated that “Signing of articles” is also to be known, from the above mentioned chapter of the book.**

DATE — 16/9/26

i) She effectively has gone through all of chapter 6, currently going through 6.8-5 of page 187.
ii) Put forth question to the class — “What is Memorandum of Association, how is it different from Articles of Association?”
iii) **Began with and stated about the Doctrine of Constructive Notice; and that it is available to the company.**
iv) Stated for above iii), that the law assumes that the Memorandum and Articles are read, by virtue of the Doctrine of Constructive Notice.
v) Stated that 3 doctrines might come in the exam — a) Doctrine of Ultra Vires. b) Doctrine of Constructive Notice. c) Doctrine of Indoor Management.
vi) Began with and stated about the Doctrine of Indoor Management.
vii) **Stated about the Royal British Bank v. Turquand (1856) that is there in 6.10 of page 188.**
viii) Stated that the syllabus for the Test on 18th is Unit 1, 2, 3.
ix) Stated from the book itself that — the Doctrine of Constructive Notice, throws a burden on people entering into contracts with a company by making a presumption that they would have read the company's memorandum and the articles even though they might not have actually read them. The Doctrine of Indoor Management, on the other hand, allows all those who deal with the company to assume that the provisions of the articles have been observed by the officers of the company.

DATE — 17/9/26

i) Began with continuation of 6.10 from page 191.
ii) Continued with Exceptions to the Doctrine of Indoor Management — going through all of the enumerations in detail.
iii) **After completing all of the enumerations of exceptions before the enumeration of the exception of Negligence, continued with Negligence; and stated about — B. Anand Behari Lal v. Dinshaw & Co. (Bankers) Ltd. (1942).**
iv) **Stated another case for Negligence — Varkey Souriar v. Keraleeya Banking Co. Ltd. (1957).**

DATE — 22/9/26

i) Began with the topic that she did not do earlier — The different theories of corporate personality.
ii) **Doing it from a scanned pdf that she shared of another book, not from Taxmann book.**
iii) Stated that Fiction Theory, Concession Theory, Purpose Theory are the important ones that should be known.
iv) Stated that the Conclusion of the scanned pdf must also be remembered.
v) Professor shared 6 PPTs.

DATE — 23/9/26

i) Began with showing PPT — SPICe+ Incorporation process.
ii) **Stated that SPICe+ is an integrated process, designed for the ease of incorporation.**
iii) **Stated that SPICe+ replaced INC-29.**
iv) Stated that Professor is going to share the PPT with us.
v) Stated that for question format, refer to the Mid Sem exam Previous Year Question (PYQ) papers.

DATE — 24/9/26

i) **Stated that question may come — “Write the the procedure or steps of formation of a company. — For answering, follow the steps written in the Book's Chapter 4, Page**

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127, 4.2-1."

- ii) Stated that for the question of Online Registration of a company — "Remember the four major steps given in the Book's Chapter 4, page 135, 4.3A."
- iii) Spent a considerable amount of time on Conclusiveness of Certificate of Incorporation — additionally, stated that "the intelligent student will understand why I am repeating topics." (Taking this to mean that whatever is repeated has a higher probability of coming in the exam.)
- iv) Stated that Corporate Veil, Lifting of Corporate Veil, its statutory grounds and its judicial grounds — very very important.
- v) Stated that Promoter, Promoter Duties, Promoter Liability, Section 34, Section 35, Different Kinds of Companies, Memorandum and it's important clauses.
- vi) (Anything that I am writing as Important, or any word used that resembles the word important, are to be considered high probability for coming in the exam; applies to other subject chats likewise.)

DATE — 29/9/26

- i) Began with stating that Professor is going to share PPT which is for "The history of companies".
- ii) Stated that the above is not important for exam purposes, but one should know about it.